

Warsaw, June 2, 2023

Decision

DKE.561.38.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 05.04.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on T. sp. z o.o. based in K. at ul. (...), the President of the Personal Data Protection Office, finding that T. sp. z o.o. based in K. at ul. (...) violated the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to information necessary for the execution of his tasks, imposes on T. sp. z o.o. based in K. at ul. (...) an administrative monetary penalty in the amount of 18,864 PLN (in words: eighteen thousand eight hundred sixty-four zlotys).

JUSTIFICATION

Factual Background

A complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") by Mr. J. M., residing in W. at ul. (...) (hereinafter referred to as the "Complainant") regarding irregularities in the processing of his personal data by T. sp. z o.o. based in K. at ul. (...) (hereinafter referred to as the "Company"), consisting of the unauthorized disclosure of his personal data in the form of a phone number (...).

According to the entry in the Register of Entrepreneurs of the National Court Register, the predominant activity of the Company is retail sale of other goods conducted at stalls and markets (PKD code 4789Z). The subject of the Company's other activities includes, among others, other individual service activities, publishing activities, financial service activities excluding insurance and pension funds, advertising, market research and public opinion, as well as employment-related activities. The Complainant's complaint was related to the Company's activity consisting of providing – through the website at address (...) – intermediary services for obtaining a personal card (...) and opening an account (...) linked to the card (...).

In order to address the Complainant's complaint, the President of UODO initiated administrative proceedings under reference number DS.523.776.2022, within which – based on Article 58 section 1 letters a) and e) of Regulation 2016/679 – by letter dated February 23, 2022, he requested the Company to respond to the content of the complaint and to provide explanations regarding the matter, in particular to answer questions on issues significant for the case, as well as to present any evidence confirming the submitted explanations. This letter was received by the addressee on March 1, 2022, however, it remained without any response from the Company.

In light of the above, the President of UODO, by letter dated April 1, 2022, again requested the Company to provide explanations regarding the matter. This request was received by the addressee on April 5, 2022, and also remained without any response from the Company.

By a letter addressed to the Company on October 6, 2022, the President of UODO reiterated the

request for explanations regarding the matter. This request was delivered to the Company on October 10, 2022, and also remained unanswered by the Company.

In the letters from the President of UODO dated April 1, 2022, and October 6, 2022, there was included a notice directed to the Company that failure to respond to the request may result, due to the lack of cooperation with the President of UODO in the performance of his duties and the failure to provide access to personal data and information necessary for the President of UODO to carry out his tasks, in the imposition on the Company – in accordance with Article 83 section 4 letter a) or Article 83 section 5 letter e) of Regulation 2016/679 – of an administrative monetary penalty of up to 20,000,000 EUR or up to 4% of the enterprise's turnover.

By administrative decision dated March 30, 2023, the President of UODO – based on Article 105 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended), hereinafter referred to as the "k.p.a." – discontinued the proceedings under reference number DS.523.776.2022. The decision was delivered to the Company on April 3, 2023.

The above circumstances of the factual state of the case, the President UODO established, based on the entirety of the official correspondence that the President of UODO directed to the Company, which correspondence is collected in the files of the proceedings under reference DS.523.776.2022. Given that – in accordance with Article 14 § 1a of the Code of Administrative Procedure (k.p.a.) – the matter was conducted and resolved entirely in writing preserved in paper form (in contacts with the Company) and electronic form (in contacts with the Complainant), this correspondence fully and exhaustively documents all attempts by the President of UODO to obtain access to the information necessary for him to consider the case under reference DS.523.776.2022, and on the other hand reflects the lack of response from the Company to the requests of the President of UODO.

Proceedings

Due to the failure of the Company to provide the information requested by the President of UODO in the proceedings under reference DS.523.776.2022, the President of UODO initiated, ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – these administrative proceedings (under reference DKE.561.38.2022) regarding the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed of the initiation of the proceedings by a letter dated December 1, 2022, delivered to it on December 5, 2022. By this letter, the Company was summoned – for the purpose of establishing the basis for the penalty assessment, based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o." – to present a financial statement or another document showing the amount of turnover and financial result achieved by it in 2021. The Company was informed of the nature of the alleged violation; it was also instructed about the sanctions that threaten for this violation, as well as about the still existing possibility of submitting explanations, which the President of UODO requested from it in the proceedings under reference DS.523.776.2022, which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Company was informed about the possibility of expressing its opinion – before the issuance of the administrative decision, regarding the collected evidence and materials as well as the submitted requests. The Company did not take any action in response to the information about the initiation of these proceedings.

By a letter dated February 3, 2023, the President of UODO reminded the Company of the ongoing proceedings regarding the imposition of an administrative monetary penalty on it due to the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. By the same letter, the Company was once again summoned to respond to the questions directed to it in the proceedings under reference DS.523.776.2022. The Company received the letter on February 7, 2023, but once again did not respond to the requests of the President of UODO. After reviewing all the evidence collected in the case, the President of the Office for Personal Data Protection considered the following.

Legal Provisions

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. Within the scope of its competencies, the President of UODO examines, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679).

To enable the realization of such defined tasks, the President of UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 in the context of conducted proceedings, including the power to order the controller and the processor to provide all information necessary to carry out its tasks (Article 58(1)(a)) and the power to obtain from the controller and the processor access to all personal data and information necessary to carry out its tasks (Article 58(1)(e)).

A violation of the provisions of Regulation 2016/679 consisting of the failure of the controller or the processor to provide access to personal data and information resulting in a violation of the powers of the authority specified in Article 58(1) of this legal act is subject – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative monetary penalty of up to 20,000,000 EUR.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – in accordance with Article 83(4)(a) of Regulation 2016/679 – an administrative monetary penalty of up to 10,000,000 EUR.

According to Article 83(3) of Regulation 2016/679, in the event of a violation by the controller or the processor within the same or related processing operations of several provisions of this regulation, the total amount of the administrative monetary penalty may not exceed the amount of the penalty for the most serious violation.

In assessing whether, and if so, to what extent an administrative monetary penalty should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for penalty assessment) specified in Article 83(2) of Regulation 2016/679:

a) the nature, gravity, and duration of the violation, taking into account the nature, scope, or purpose of the specific...

the Company duly received, but the Company failed to provide the requested information and explanations.

In light of the above, the President of the UODO determined that the Company did not fulfill its obligations to cooperate with the supervisory authority as required under Article 31 of Regulation 2016/679. This lack of cooperation is a significant factor in assessing the severity of the infringement and the potential administrative fine.

Furthermore, the President of the UODO, in accordance with Article 83(1) of Regulation 2016/679, ensures that the administrative fines imposed are effective, proportionate, and dissuasive (principles of penalty assessment).

To establish the basis for the administrative fine, the entity subject to the proceedings for the imposition of an administrative fine is obliged, at the request of the President of the UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine this basis (Article 101a(1) of the Act on the Protection of Personal Data).

In the event that the entity subject to the penalty fails to provide this data, the President of the UODO establishes the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Act on the Protection of Personal Data).

According to the provisions of Article 103 of the Act on the Protection of Personal Data, the amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate

table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

Legal Assessment

Referring the aforementioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Article 58(1)(e) and Article 31 of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(4) and (5) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the UODO – on administrators and on processors.

In the case with reference number DS.523.776.2022, the President of the UODO established – based on the information and evidence presented by the Complainant in their complaint and in the absence of denial of this circumstance by the Company – that the personal data of the Complainant was processed by the Company, acting in this processing as the administrator, for the purpose of providing commercial information regarding the services it offers. As follows from the evidence gathered in this case, the Company established the purpose of processing the Complainant's personal data (to present an offer for its own service) and the manner of processing (twice sending the service offer via text message from its own phone number to the Complainant's phone number). Thus, the Company's role in the processing of the Complainant's personal data fulfilled the definition of "administrator" presented in Article 4(7) of Regulation 2016/679.

It is irrelevant in this case whether this processing took place based on one of the legal bases indicated in Article 6(1) of Regulation 2016/679 and whether it was carried out in accordance with the other provisions of this regulation. However, for the purposes of this case, the determination that in the contested processing the Company acted as the administrator of the Complainant's personal data allows for the conclusion that the Company was obliged to cooperate with the President of the UODO – at their request – within the proceedings with reference number DS.523.776.2022, and in particular was obliged to provide the information requested by them for a thorough and comprehensive examination of the Complainant's complaint.

In the proceedings with reference number DS.523.776.2022 – in order to clarify the factual state of the case – the President of the UODO made three requests to the Company to respond to the content of the complaint and to provide explanations by answering detailed questions regarding the case (see points 3-5 of the justification of this decision). All these requests from the President of the UODO were duly received by the Company, but the Company failed to provide the requested information and explanations.

The Company has been notified, which allows for the assumption that it received information about the ongoing proceedings before the President of the Personal Data Protection Office (UODO) involving it, including the demands directed at it by the authority. The Company did not provide the explanations requested by the President of UODO; it did not respond to any of the three calls made by him. This situation was not changed by the initiation of the present proceedings by the President of UODO regarding the imposition of an administrative monetary penalty (under reference number DKE.561.38.2022). Both letters addressed to the Company within this proceeding (dated December 1, 2022, and February 3, 2023 – see points 10 and 11 of the justification of this decision) remained unanswered by the Company.

Therefore, it is undisputed that the President of UODO – exercising the authority referred to in Article 58(1)(a) of Regulation 2016/679 – directed to the Company – in a manner compliant with the provisions of the Code of Administrative Procedure (k.p.a.) regulating calls (Chapter 9 of the k.p.a.) – a request for information necessary to fulfill his tasks – in this case, for the substantive resolution of the case with reference number DS.523.776.2022. It is also undisputed that the President of UODO did not receive the requested information from the Company, which constitutes a violation of Article

58(1)(a) and (e) of Regulation 2016/679.

The Company's action of failing to provide the President of UODO with access to the information necessary for him to accurately clarify the factual state of the case with reference number DS.523.776.2022 simultaneously fulfills the characteristics of a violation of Article 31 of Regulation 2016/679. The cooperation of the administrator with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes, and may even primarily consist of, the obligation to present to the authority – at its request – all information held by it related to the subject of the administrative proceedings conducted with its participation.

The consequence of the lack of access to the information that the President of UODO requested from the Company was an obstacle to the objective, thorough, and comprehensive consideration of the case, as well as an unjustified extension of the duration of the proceedings initiated by the complaint of the Complainant, which in turn contradicted the fundamental principles governing administrative proceedings – specified in Article 12(1) of the k.p.a. regarding the principles of thoroughness and speed of proceedings.

In light of the above, the President of UODO states that in this case, there were grounds justifying the imposition on the Company – pursuant to Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679 – of an administrative monetary penalty in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and in connection with the failure of the Company to provide access to information necessary for the President of UODO to fulfill his tasks, that is, to consider the complaint lodged by the Complainant (Article 58(1)(a) and (e) in connection with Article 57(1)(f) of Regulation 2016/679).

At the same time, due to the determination of the Company's violation of several provisions of Regulation 2016/679 (Article 31 and Article 58(1)(a) and (e)), in accordance with the content of Article 83(3) of this legal act, the President of UODO determined the amount of the imposed administrative monetary penalty not to exceed the amount of the penalty for the most serious of these violations. In the established factual state of the case, the President of UODO considered the violation consisting of the Company's failure to provide him with access to the information necessary for the fulfillment of his tasks, that is, the violation of Article 58(1)(a) and (e) of Regulation 2016/679, which is subject to a monetary penalty of up to 20,000,000 EUR, to be the most serious. The seriousness of this violation is evidenced by the fact that the lack of access to the information that the President of UODO requested from the Company not only hindered the objective, thorough, and comprehensive consideration of the case but also resulted in an excessive and unjustified extension of the duration of the proceedings, which could render the Complainant's right to request the President of UODO to provide him with protection of his rights and freedoms ineffective – indeed, fictitious.

Criteria and principles for the imposition of an administrative monetary penalty

Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of criteria listed in points (a) to (k) of the aforementioned provision are taken into account (see point 17 of the justification of this decision). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of UODO took into account – among them – the following circumstances that weigh negatively on the assessment of the violation:

The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679). The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of their personal data, or more broadly – to the protection of their privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are the supervisory authorities, which have been assigned tasks related to the protection and enforcement of the rights of individuals in this regard. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. Meanwhile, administrators and processing entities have been

imposed, correlated with the powers of supervisory authorities, specific obligations.

****Obligations, including the obligation to cooperate with supervisory authorities and the obligation to provide these authorities with access to information necessary for the performance of their tasks.** The importance of violating these obligations was emphasized by the EU legislator itself, who provided for a higher penalty for their violation, as specified in the provisions of Regulation 2016/679 – a penalty of up to 20,000,000 EUR. The Company's conduct in this matter, consisting of ignoring the summonses received from the President of the UODO, resulting in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO, should therefore be regarded as undermining the personal data protection system, and for this reason, it is of great importance and reprehensible nature. The significance of the violation is further increased by the fact that the violation committed by the Company was not an incidental event. The Company's actions were continuous and prolonged. They lasted from the expiration of the 7-day deadline set for providing explanations in the first summons issued by the President of the UODO to the Company in the proceedings with reference number DS.523.776.2022, i.e., from March 9, 2022 (see point 3 of the justification of this decision), until the date of the decision concluding this proceeding, i.e., until March 30, 2023 (see point 7 of the justification of this decision). The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679). In the opinion of the President of the UODO, the Company's conduct in the case with reference number DS.523.776.2022, consisting of a complete lack of cooperation in providing the authority with access to the information needed to consider the complaint filed by the Complainant, was conscious and deliberate. There is no doubt that the requests of the President of the UODO reached the awareness of the Company (and essentially the persons managing it), as the receipt of the summons directed to it was confirmed each time by the signatures of persons authorized to receive documents, as indicated on the return confirmations of receipt of correspondence (see points 3-5 of the justification of this decision). The lack of response to them must therefore have been the result of a conscious decision by the Company aimed at hindering or preventing the President of the UODO from considering the Complainant's complaint. It is worth noting that the letter informing the Company about the initiation of this proceeding (dated December 1, 2022 – see point 10 of the justification of this decision) – in addition to the information about the violation committed by the Company and the threat of an administrative monetary penalty for this violation – also contained information about the still existing possibility of providing the information requested by the President of the UODO in the proceedings with reference number DS.523.776.2022. The Company was therefore fully aware of the violation committed, as well as knowledgeable about how to end the state of this violation (by providing the information requested by the President of the UODO). The Company did not do so until the date of the decision concluding the proceedings initiated by the Complainant's complaint, which, in the opinion of the President of the UODO, indicates the persistence of its actions deliberately aimed at remaining in a state of violation of the provisions of Regulation 2016/679. Such motivation for the Company's conduct deserves a decidedly negative assessment from the supervisory authority and must weigh heavily on the assessment of the violation committed by it.

****Degree of cooperation with the supervisory authority in order to rectify the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).** **** During this proceeding concerning the imposition of an administrative monetary penalty on the Company, the Company did not undertake any cooperation with the President of the UODO. In particular, the Company did not provide the information requested by the President of the UODO in the proceedings with reference number DS.523.776.2022, which could have been treated as an action aimed at rectifying the violation identified in this case or mitigating its effects. Such a lack of cooperation with the President of the UODO resulted in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO (and could also have resulted in a delay in providing the President of the UODO with protection of the Complainant's justified rights or freedoms – if the demands presented in the complaint were justified in the factual state of the case). Such consequences of the Company's continued state of violation (lack of willingness to restore compliance with the law by fulfilling its procedural obligations in the proceedings before the President of the UODO) must, in the opinion of the President of the UODO, weigh negatively on the assessment of the identified violation.**

In the opinion of the President of the UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 speaks in favor of mitigating the established – taking into account the above-mentioned aggravating circumstances – dimension of the penalty imposed by this decision.

****Other circumstances, indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this case, were considered by the President of the UODO to be neutral in his assessment, meaning that they had neither an aggravating nor a mitigating effect on the dimension of the imposed administrative monetary penalty:****

Any relevant previous violations by the administrator (Article 83(2)(e) of Regulation 2016/679). The President of the UODO did not find that the Company had previously committed any violations of data protection regulations, which is why there are no grounds to treat this circumstance as aggravating. And since such a state (fulfilling obligations arising from data protection regulations) is a natural state in the environment.

legal, in which the Company operates, it cannot have a mitigating effect on the assessment of the violation made by the President of the UODO.

The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679). The information about the violation identified in this case was obtained by the President of the UODO ex officio by analyzing the course of the proceedings pending before him under reference DS.523.776.2022. This is a natural way of acquiring information about such a violation (that is, about the lack of cooperation with the authority and the failure to provide access to information necessary for the consideration of the case) resulting from the President of the UODO's competence to assess the course of these proceedings and to determine what information is necessary for him to resolve the ongoing case. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account in favor of the Company since it did not participate in the acquisition of information about the violation by the President of the UODO.

Compliance with previously applied measures in the same case referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679). Prior to issuing this decision, the President of the UODO did not apply any measures against the Company in the examined case mentioned in Article 58(2) of Regulation 2016/679, which means that the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of the UODO, could have a burdensome or mitigating effect on the assessment of the identified violation.

Application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679). The Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for administrators, as stipulated by the provisions of Regulation 2016/679, which means that the circumstance of their non-application cannot be considered against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection for processed personal data could be taken into account in favor of the Company.

Financial benefits directly or indirectly achieved in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Company, due to its failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as burdensome for the Company. The existence of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the Company's failure to achieve such benefits, as a natural state resulting from the assumption that in a rule of law, an entrepreneur conducts business and achieves financial benefits (profits) on the condition of complying with applicable legal requirements, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "achieved" – that is, those that occurred on

the part of the entity committing the violation.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not note any other circumstances than those described above that could influence the assessment of the violation and the amount of the imposed administrative fine.

The remaining circumstances mentioned in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO due to the specific nature of the violation (concerning the relationship between the administrator and the supervisory authority, and not with the individuals whose data are concerned). These are:

1. The number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the action of the Company subject to sanction (failure to provide the President of the UODO with access to the information requested by him – in the proceedings under reference DS.523.776.2022 – necessary to consider the complaint filed by the Complainant) is not related to the violation of personal data of any individual and consequently no damages occurred in the case on the part of individuals;
2. Actions taken by the administrator to minimize the damage suffered by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages occurred on the part of individuals, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
3. The degree of responsibility of the administrator considering the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
4. Categories of personal data to which the violation related (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the violation consisting of failing to provide access to the information needed by the President of the UODO to carry out his tasks. does not involve the violation of any personal data.

Pursuant to the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative fines, reference should be made to the views of the doctrine of law on the protection of personal data. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of inconvenience determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the interests of individual and general prevention; in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Regulation on Data Protection. Data Protection Act. Selected Sectoral Provisions. Commentary).

The principles of imposing administrative fines as defined above require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of a business, Regulation 2016/679 allows for the adoption of the total annual global turnover from the previous financial year (Article 83(4) and (5) of Regulation 2016/679). Complementing this principle, Article 101a(2) of the Data Protection Act states that in the absence of such data, the President of the Personal Data Protection Office (UODO) determines the basis for the calculation of the administrative fine based on estimates regarding the size of the entity, the specifics of the activity it conducts, or generally available financial data concerning the entity.

Referring to the economic potential of the penalized entity is necessary because, among other things, a fine that is disproportionately low in relation to the financial capabilities of the perpetrator of the

violation (a fine that is practically "unnoticeable" for that entity) will not be effective and deterrent for that entity; a fine that is too burdensome (a fine whose payment threatens the existence of the entity) will not be a proportional fine.

In the opinion of the President of the UODO, the fine imposed on the Company in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its financial burden will discipline the Company to cooperate properly with the President of the UODO in proceedings conducted with its participation before the President of the UODO. In terms of disciplining the Company, the fine will therefore be effective (it will achieve its goal). The fine imposed by this decision is also, in the opinion of the President of the UODO, proportional to the seriousness of the established violation and to the possibility of its bearing by the Company without significant detriment to its business operations. This fine will also serve a deterrent function; it will be a clear signal for the Company, obliged under the provisions of Regulation 2016/679 to cooperate with the President of the UODO, that neglecting obligations related to cooperation with him (in particular, hindering access to personal data and information necessary for the performance of his tasks, including the consideration of complaints lodged by individuals affected by the violation of the protection of their personal data) constitutes a serious violation and as such will be subject to financial sanctions.

Due to the Company's failure to provide the financial data requested by the President of the UODO for the year 2021, in determining the amount of the administrative fine in this case, the President of the UODO took into account, based on Article 101a(2) of the Data Protection Act, the estimated size of the Company and the specifics, scope, and scale of the activity it conducts. In the opinion of the President of the UODO, the Company conducts business on a small scale, as evidenced by its low share capital (10,000 PLN) and the fact that this activity has not been ongoing for long (the Company was registered in the National Court Register on August 23, 2021). The scope of the Company's activity is small; it focuses practically on providing one service electronically (via the website (...)) for facilitating the opening of an account (...) connected with obtaining a card (...). The small scale of the activity conducted by the Company may also be evidenced by the fact that it is not listed in the VAT taxpayer register maintained by the Head of the National Revenue Administration (www.podatki.gov.pl/wykaz-podatnikow-vat-wyszukiwarka) – the sale of services provided by the Company is probably exempt from VAT (according to Article 113(1) of the Act of March 11, 2004 on Goods and Services Tax – Journal of Laws of 2022, item 931, as amended) due to its small value – not exceeding 200,000 PLN in the financial year.

Considering that the penalized entity in this case is a small entity, the administrative fine imposed on it by this decision is of relatively small amount (constituting 0.02% of the maximum amount of the fine that, according to Article 83(5)(e) in fine of Regulation 2016/679, the President of the UODO could impose for the violation established in this case) and will be a burdensome fine for it and thus effective, but also possible to bear without threatening the material basis of its existence and the activity it conducts.

Taking into account the provisions of Article 103 of the Data Protection Act, the President of the UODO imposed on the Company – using the average exchange rate of the euro from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative fine in the amount of 18,864 PLN (which is equivalent to 4,000 euros).

Having considered the above, the President of the UODO ruled as follows:

****In the sentence of this decision.****

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002, on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 259, as amended), hereinafter referred to as "p.p.s.a.", the party has the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May

10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty. In proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees. According to Article 105 § 1 of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the judgment of the administrative court becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw, account number 28 1010 1010 0028 8622 3100 0000. Furthermore, according to Article 105 § 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997, Tax Ordinance (Journal of Laws of 2022, item 2651, as amended), from the day following the day of submission of the request.

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